

out of good positions because you are trading larger than your comfort level. Trading size needs to be kept small enough so that fear does not become the prevailing instinct guiding your judgment. As Clark says, you have to “trade within your emotional capacity.”

Position size is important not only in avoiding trading too large, but also in trading larger when warranted. If everything lines up in a trade—a compelling reason why the trade should work, large potential relative to risk, high confidence in the position, and so on—then the trade should be put on in larger-than-normal size. Clark cites buying the Fiat rights below intrinsic value as an example of such a trade.

Traders also need to adjust position size in response to the changing market environment. If the market volatility increases dramatically, traders need to reduce their normal exposure levels correspondingly, or else their risk will dramatically increase. In 2008, Clark reduced his exposure levels by 75 percent in response to sharply increased volatility.

Flexibility is an essential quality to successful trading. It is important not to get attached to an idea and to always be willing to get out of a trade. Clark says that really good traders are capable of changing their mind in an instant if the price action is inconsistent with their trade hypothesis. They can be absolutely convinced the market is going higher one moment, and then be just as sure the market is going down in the next.

Virtually all traders experience periods when they are out of sync with the markets. When you are in a losing streak, you can't turn the situation around by trying harder. When trading is going badly, Clark's advice is to get out of everything and take a holiday. Liquidating positions will allow you to regain objectivity. You can't be objective if you are in the market. Taking a physical break will interrupt the negative downward spiral that can develop in a losing streak, as each loss further diminishes confidence. When you restart trading, trade smaller until you have regained confidence.

Beware of trades borne of euphoria. If you find yourself influenced by the market hysteria to get into a position, watch out! Clark recalls such as situation in Euro Disney where he recognized that his own irrationality in trying to add to his position in a sharply rallying stock was itself a warning signal. Once this realization hit, he switched from bidding to selling, just in time, as soon after, the stock reversed into a steep dive.